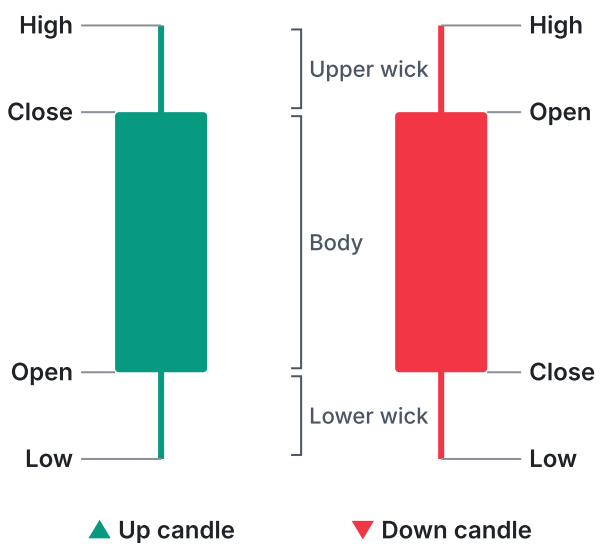
Reading Candlesticks

A field guide for your paper-trading practice



Anatomy of a candle

One candle = one time period. On a daily chart each candle is one trading day; on a 1-hour chart, one hour. Every candle shows four prices: **Open, High, Low, Close** (OHLC).

▲ **Up candle (green):** closed higher than it opened. The open is the bottom of the body, the close is the top.

▼ **Down candle (red):** closed lower than it opened. The open is the top of the body, the close is the bottom.

Body: the range between open and close. What the session actually achieved.

Wicks (also called shadows): how far price travelled but could not hold. A wick is a rejected price.

Three questions for every candle

You do not need to memorize 40 pattern names. Ask these three questions and most patterns explain themselves.



① Who won?

Look at the color. Green: price closed above the open, so buyers won the session. Red: sellers won.



② How clearly?

Compare the body with the whole candle. A big body with small wicks shows conviction. A tiny body shows indecision: both sides fought, nobody won.



③ What was rejected?

Long wicks show where price went and got pushed back. A long lower wick: buyers defended the low. A long upper wick: sellers defended the high.

How to use this guide: page 2 shows a full chart with the patterns in action. Pages 3 and 4 are the pattern catalogue (faded candles show the trend before the pattern). Page 5 turns a pattern into a complete paper trade with entry, stop and position size.

Colors match TradingView's defaults. If red and green are hard to tell apart for you, switch the chart type to **Hollow candles** in TradingView, or pick your own colors in Chart settings → Symbol.

Candles in context: one chart, six signals

A downtrend finds support, turns into an uptrend, fails at an old high and turns down again. Numbers mark the signals described below.



Each candle = 1 trading day (daily chart). Faint lines: price levels on the right axis.

1. **Hammer at support**
   Sellers push price to a new low, buyers reject it. The next day closes above the hammer's high: confirmation.
2. **Bullish engulfing**
   After a small pullback, a green body swallows the red one. Buyers are now in charge.
3. **Three white soldiers**
   Three strong green days in a row. The new uptrend has momentum.
4. **Doji**
   After a strong rally, a draw. Momentum is fading. A reason to pay attention, not yet a sell signal.
5. **Shooting star at resistance**
   Buyers push above the old high, sellers slam price back below it. A failed breakout.
6. **Bearish engulfing**
   Sellers take back more than the previous day. This confirms the top, and the trend turns down.

What to notice

- **Location made each signal meaningful.** The hammer appeared at a low, the shooting star at the old high. The same shapes in the middle of a range would mean little.
- **The next candle confirmed each signal.** The hammer was followed by a higher close; the shooting star by a bearish engulfing. A pattern is a question, and the next candle is the answer.
- **Indecision came before the turn.** The doji did not reverse anything by itself. It warned that the rally was running out of buyers.

Single-candle patterns

Faded candles show the trend before the pattern. The same shape can mean opposite things depending on where it appears.



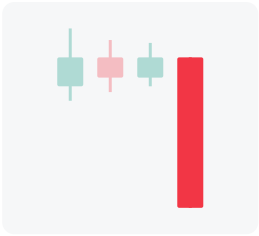
Bullish Marubozu

▲ Strong buying

Shape: Long green body, no wicks (or tiny ones).

Means: Buyers were in control from the open to the close.

Note: Often continues. After a long run it can also mark exhaustion.



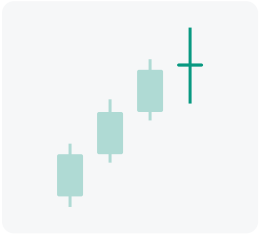
Bearish Marubozu

▼ Strong selling

Shape: Long red body, no wicks.

Means: Sellers were in control from the open to the close.

Note: A breakdown candle. Do not try to buy into it.



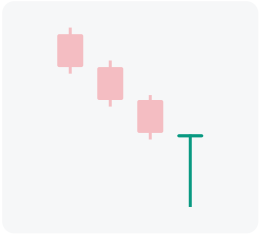
Doji

◆ Indecision

Shape: Open and close almost equal, wicks on both sides.

Means: Buyers and sellers ended the session in a draw.

Note: Matters only after a strong move: the push is losing force. Not yet a reversal.



Dragonfly Doji

▲ Possible bottom

Shape: Open, close and high at the top; long lower wick.

Means: Sellers pushed price far down, buyers pushed it all the way back.

Confirm: Next candle closes higher.



Gravestone Doji

▼ Possible top

Shape: Open, close and low at the bottom; long upper wick.

Means: Buyers pushed price far up, sellers erased all of it.

Confirm: Next candle closes lower.



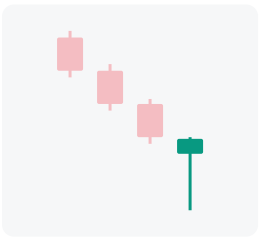
Spinning Top

◆ Indecision

Shape: Small body in the middle, wicks on both sides.

Means: Both sides tried, neither won.

Note: In a trend it is a pause. Several in a row: the market is waiting.



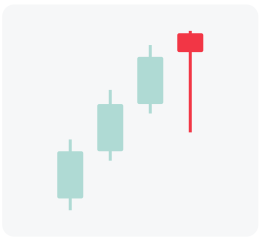
Hammer

▲ Bullish reversal hint

Shape: After a decline. Small body at the top, lower wick at least 2× the body.

Means: Sellers pushed price down, buyers rejected the low. Location matters more than color.

Confirm: Next candle closes above the hammer's high.



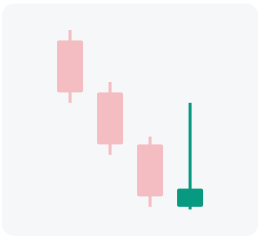
Hanging Man

▼ Bearish warning

Shape: Same shape as the hammer, but after a rise.

Means: Sellers managed a hard push down during the session. A first crack in the uptrend.

Confirm: Next candle closes below its body.



Inverted Hammer

▲ Bullish hint (weak)

Shape: After a decline. Small body at the bottom, long upper wick.

Means: Buyers tried to push up and failed, but they showed up.

Confirm: Needs a strong green candle next, more than any other pattern on this page.



Shooting Star

▼ Bearish reversal hint

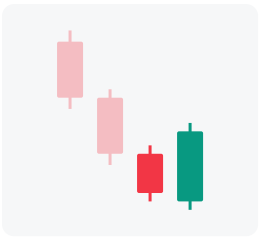
Shape: After a rise. Small body at the bottom, upper wick at least 2× the body.

Means: Buyers pushed up, sellers slammed price back down.

Confirm: Next candle closes lower.

Two- and three-candle patterns

These patterns show a shift of control over several sessions. They are usually more meaningful than a single candle.



Bullish Engulfing

▲ Reversal

Shape: After a decline. A green body fully covers the previous red body.

Means: Buyers took back more than the whole previous session's selling.

Note: Stronger at support and on high volume.



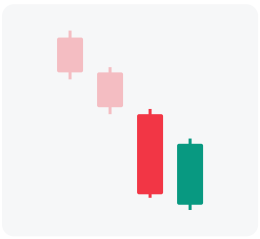
Bearish Engulfing

▼ Reversal

Shape: After a rise. A red body fully covers the previous green body.

Means: Sellers took back more than the previous session's gains.

Note: Stronger at resistance and on high volume.



Piercing Line

▲ Reversal

Shape: Long red candle, then a green one that opens below its close and closes above the middle of the red body.

Means: Buyers recovered more than half of the sell-off.

Note: The weaker cousin of the bullish engulfing.



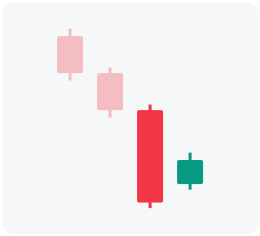
Dark Cloud Cover

▼ Reversal

Shape: Long green candle, then a red one that opens above its close and closes below the middle of the green body.

Means: Sellers wiped out more than half of the rally.

Note: The weaker cousin of the bearish engulfing.



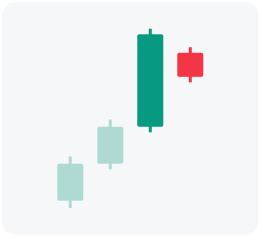
Bullish Harami

▲ Selling dries up

Shape: After a decline. A small candle sits entirely inside the previous long red body.

Means: The selling momentum stopped. That is not yet buying strength.

Confirm: A close above the long red candle's open.



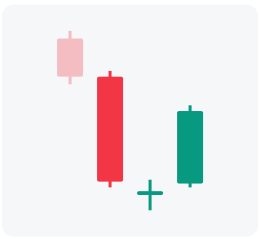
Bearish Harami

▼ Buying dries up

Shape: After a rise. A small candle sits entirely inside the previous long green body.

Means: The buying momentum stopped.

Confirm: A close below the long green candle's open.



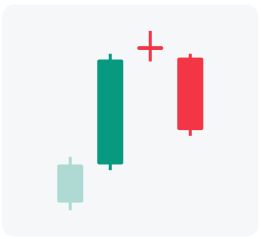
Morning Star

▲ Reversal (3 candles)

Shape: Long red, then a small candle lower down, then a long green closing above the middle of the first.

Means: Three sessions, one story: sellers, then stalemate, then buyers.

Note: On stocks the small candle often gaps; on 24-hour markets it usually does not.



Evening Star

▼ Reversal (3 candles)

Shape: Long green, then a small candle higher up, then a long red closing below the middle of the first.

Means: Buyers, then stalemate, then sellers.

Note: The mirror image of the morning star.



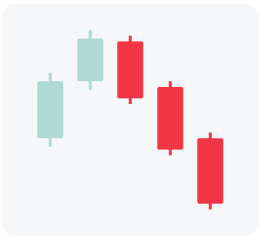
Three White Soldiers

▲ Strong buying

Shape: Three long green candles, each opening inside the previous body and closing near its high.

Means: Steady, persistent buying over three sessions.

Note: Late in a long rally it can mean the move is overstretched.



Three Black Crows

▼ Strong selling

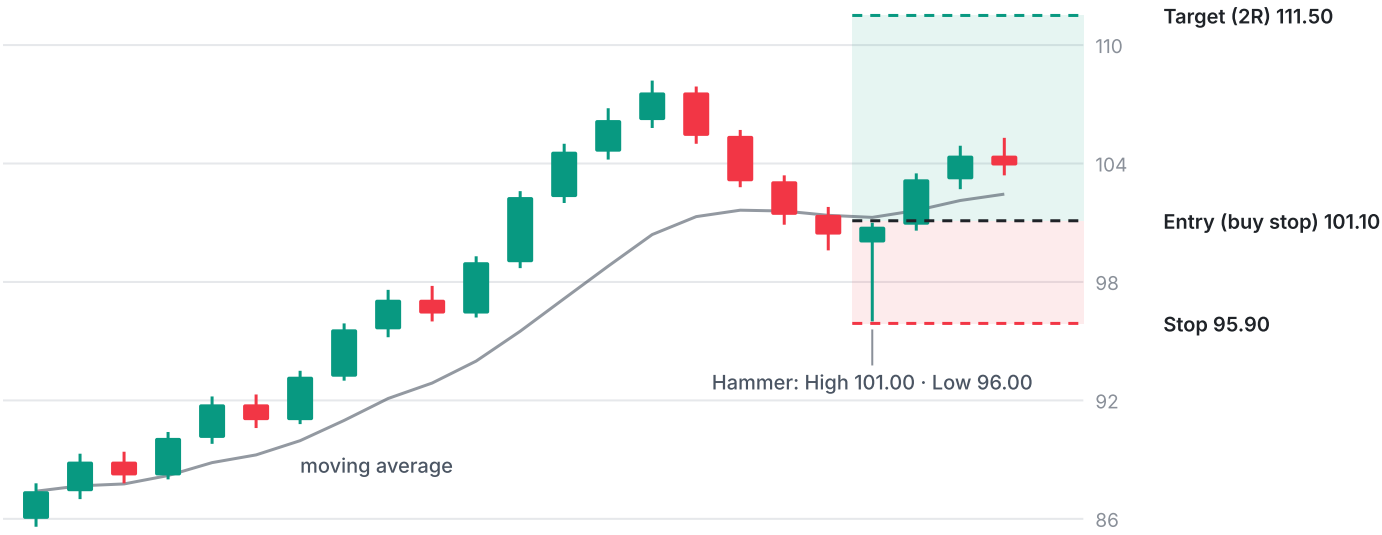
Shape: Three long red candles, each opening inside the previous body and closing near its low.

Means: Steady, persistent selling over three sessions.

Note: Do not try to catch it. Wait for a bottoming pattern first.

From pattern to paper trade

An uptrend pulls back below its moving average and prints a hammer. Here is how the candle turns into a complete trade plan for a CHF 2000 account risking 1% (CHF 20).



The calculation

Entry: buy stop just above the hammer's high	**101.10**
Stop: just below the hammer's low	**95.90**
Risk per share: 101.10 − 95.90	**5.20**
Shares: 20 ÷ 5.20 = 3.85, always round down	**3**
Money needed: 3 × 101.10	**CHF 303.30**
Loss if stopped: 3 × 5.20, plus fees	**CHF 15.60**
Target (2R): 101.10 + 2 × 5.20	**111.50**

The buy stop means you only get in if buyers follow through above the hammer's high. No follow-through, no trade. TradingView's **Long Position** tool (left toolbar) draws the green and red boxes for you.

Rules for using candles

1. **Location beats shape.** At support or on a pullback in an uptrend, a hammer means something. In the middle of nowhere it is noise.
2. **Wait for confirmation.** Enter only when the next candle moves in the pattern's direction.
3. **The pattern gives you the stop.** Below the pattern's low for longs, above its high for shorts. Then size with the formula.
4. **Prefer daily candles.** A daily candle holds a full day of trading. 1-minute candles are far noisier.

An honest warning

Academic tests have found that candlestick patterns on their own predict little. Treat them as a language for reading who is in control, not as buy and sell buttons. Test them yourself: tag every paper trade in your journal with its pattern, and after 50 trades check which ones actually made money.

Practice: Bar Replay drill

In TradingView, open a daily chart, start **Bar Replay** one year back and step forward one candle at a time. Each time you spot a hammer or an engulfing at support, write down the entry, stop and share count, then note what happened over the next 5 candles. Goal: 20 examples.